

LIC too would go the US-64 way, given the manner in which the government was meddling in its investment decisions.

The Union Budget in mid-March did little to cheer up the market. In fact, two proposals in the Budget made FIIs see red. One related to an amendment to the Income Tax Act allowing for taxing past transactions in which the underlying asset was in India, even if the firm controlling that asset was based abroad and the transaction had taken place outside India. The other was for the introduction of General Anti-Avoidance Rules (GAAR). GAAR empowered the Income Tax department to deny tax benefits to an FII if they had reason to believe that a transaction was carried out exclusively for the purpose of avoiding tax. Many FIIs had set up shell companies in Mauritius and were routing their investments into India through those companies, taking advantage of India's tax treaty with Mauritius to avoid paying short-term capital gains tax.

The rattled FIIs rallied under the banner of the Asian Securities Industry and Financial Markets Association (ASIFMA) and wrote a strongly worded letter to Finance Minister Pranab Mukherjee, warning that they would pull out en masse if the 'tax uncertainty' was not resolved. This was the first instance of foreign investors writing an explicitly threatening letter to the finance minister that I was aware of. India does need foreign capital, but it cannot have foreign investors dictating its financial policies.

ASIFMA had a suggestion for the minister with respect to GAAR: don't apply GAAR to 'small investments'. By 'small investments', ASIFMA meant a stake of 10 per cent or less in a listed Indian company. But that was absurd, since no FII could anyway hold more than 10 per cent in a listed Indian company. In effect, ASIFMA was saying that GAAR should not be applicable at all on stock market transactions by FIIs, whether or not some of them were abusing the Mauritius route to dodge short-term capital gains tax. To its credit, the government stood by its decisions while assuring foreign investors that the tax rules would be fairly interpreted.